

Chapter 5

Introduction to Macroeconomics

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Summer 2024



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Recap: What is Macroeconomics?

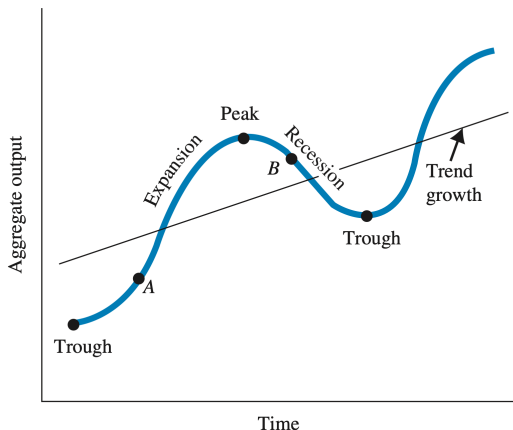
- Macroeconomics: The branch of economics that examines the economic behavior of aggregates—income, employment, output, and so on—on a national scale.
- ★ Macroeconomists observe that important prices—for example, the wage rate—in the economy often seem "sticky".
 - Sticky prices are prices that do not always adjust rapidly to maintain equality between quantity supplied and quantity demanded.
- Three of the major aggregates in macroeconomics are:
 - ① Output growth
 - ② Unemployment
 - ③ Inflation (and deflation)

Note: How do these aggregates relate to each other?

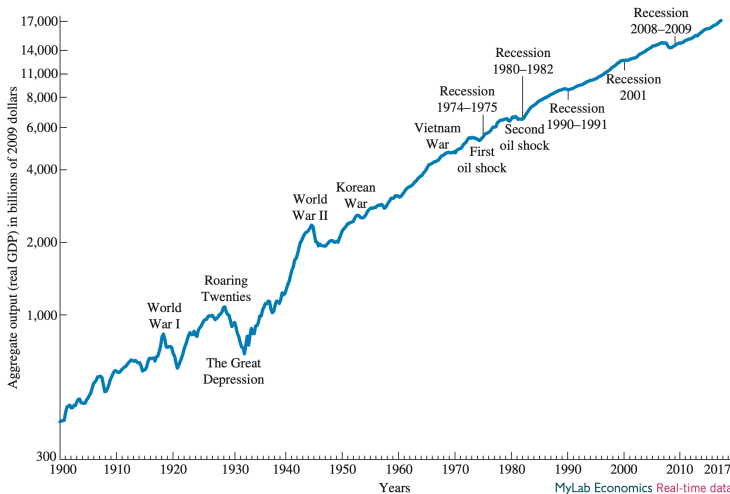
Output Growth

Three Major Aggregates

- Economies experience short-term ups and downs in aggregate output: business cycle.



U.S. Aggregate Output



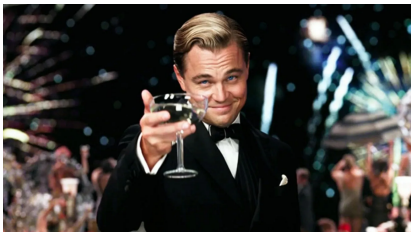
▲ **FIGURE 5.2 U.S. Aggregate Output (Real GDP), 1900–2017**

The periods of the Great Depression and World War I and II show the largest fluctuations in aggregate output.

A Brief History of Macroeconomics

The Great Depression

- A prolonged and deep recession is called a depression.
- There was The Great Depression between *The Great Gatsby* and *The Grapes of Wrath*.

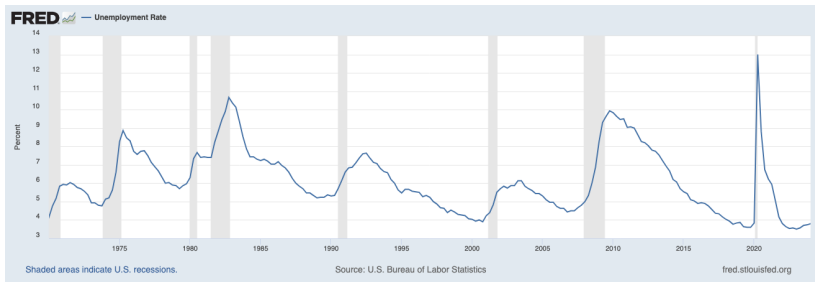


- History does not repeat, but history is a good guide.

Unemployment

Three Major Aggregates

- Time series of unemployment rate in the U.S.



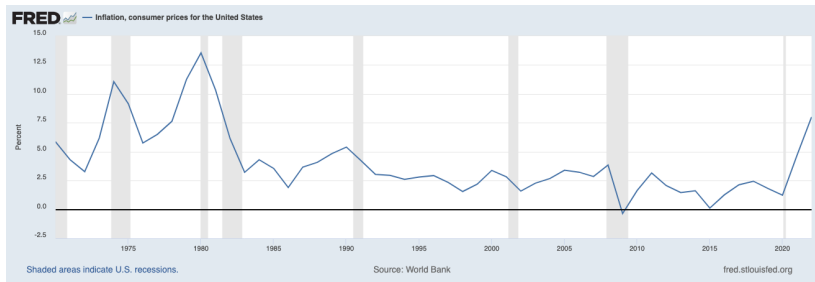
Ongoing Debates on Unemployment

- Some positive rate of unemployment is inevitable.
Note : Frictional unemployment (Search unemployment)
- A key question in macroeconomics is how the economy adjusts when the unemployment rate rises beyond the base level.
- What is going on in the labor market in recent U.S.?
 - *CNBC* YouTube clip: Why 'Maximum Employment' Feels Impossible In The U.S.
 - ★ *The Economist* article: The cracks in America's ultra-strong labour market
 - Fundamental changes in working arrangements toward hybrid work post-pandemic
 - ⋮

Inflation

Three Major Aggregates

- Time series of inflation rate in the U.S.



Understanding of Inflation

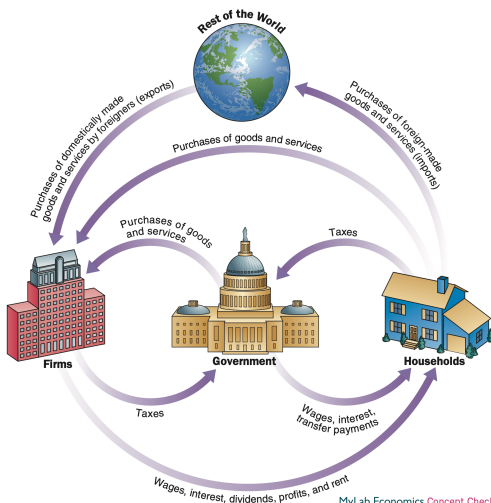
- Inflation: An increase in the overall price level. Price growth.

Note: Disinflation $\neq$ Deflation

- Disinflation: A decrease in the rate of inflation. A slowdown in the rate of increase of the general price level of goods and services.
 - Deflation: A decrease in the overall price level.
-
- *CNBC* YouTube clip: Why Prices Might Never Go Back Down.
 - *Vox* YouTube clip: Why can't prices just stay the same?

Four Economic Agents of the Macroeconomy

- Circular flow diagram



The Three Markets in Macroeconomy

① Goods-and-Services Market

- Supply side: Firms and rest of the world
- Demand side: Households, government, firms, and rest of the world

② Labor Market

- Supply side: Households and rest of the world
- Demand side: Firms, government and rest of the world

③ Money Market (Financial Market)

- Supply side (lenders): Households, government, firms, and rest of the world
- Demand side (borrowers): Households, government, firms, and rest of the world

The Role of the Government in the Macroeconomy

- How the government uses policy to affect the economy.
- Fiscal policy: The government's spending and taxing policies
- Monetary policy: The tools used by the Federal Reserve to control short term interest rates.